Setup A Labeling Guide

Edge project | v0.1 | October 29, 2026 | Companion to SETUP_A.md

The next step in one sentence

Replay 15-20 past 1-minute MES pullbacks, label each one by eye **before** measuring anything, then record the numbers so we can check which v0.1 thresholds agree with what you call a valid Setup A. No code is written until this is done.

Why we do this

SETUP_A.md lists several candidate numbers for each rule (for example a 40%, 50% or 60% upper wick). We do not know yet which one matches your eye. Your labels are the answer key. When a number and your label disagree, that disagreement tells us how to fix the definition.

What you need

- **TradingView, MES 1-minute chart**, extended hours (ETH).
- **VWAP**: Anchor = Session, Source = (H+L+C)/3, one band at 1 standard deviation (your current settings).
- **ATR(14)** and **RSI(14)** added to the chart, so you can read their value on any candle.
- **5-minute and daily charts** for the trend check.
- **Bar Replay** to step through history one candle at a time.
- **The labeling sheet** (a spreadsheet; field list on the last page). About 10-15 minutes per case.

Step 1: Pick cases by a rule, not by memory

If you only pick charts you remember, the sample fills with memorable winners and the thresholds come out wrong.

1. Choose **5-7 recent sessions**. Mix cash-session and overnight hours, and record which is which.
2. In each session, take **every** pullback that happened while the 5-minute trend was bearish and whose high came within about **1 ATR of VWAP**.
3. Stop at about **15-20 cases** total.
4. Expect a mix: clear Setup A's, clear no's, and **trend intact but too late** cases. All three are useful.

Step 2: Replay without peeking

1. Start Bar Replay a few candles **before** the pullback begins.
2. Advance one candle at a time.
3. Stop at the candle where you would have decided: the trigger candle, or the candle where you decided there was no trade.
4. **Do not look ahead.** The label must reflect what you knew at that moment.

Step 3: Label first, measure second

At the decision candle, fill these five fields **before** reading any numbers. Once written, do not change them, even after you see what happened next.

Field	Allowed values	Notes
Verdict	YES / NO / UNSURE	Is this a valid Setup A? UNSURE is an honest, useful answer.
Trigger(s)	T1 T2 T3 T4 T5 (several allowed), or none	T1 rejection candle, T2 bearish engulfing, T3 failed breakout, T4 strong red after test, T5 lower high then continuation.
Alignment	ALIGNED / MIXED / AGAINST	From your 5m and daily trend lines.
Decision	TAKE / WAIT / SKIP	What you would have done in real time.
Reason	One sentence, plain words	Example: "wick through VWAP, weak bounce volume, room to the low."

Step 4: Measure the candidate

Now read the numbers off the chart. Prices are in points; MES moves in ticks of 0.25 points. Read ATR and RSI on the decision candle.

Candle shape (on the test or trigger candle)

Field	How to compute by hand
candle_range	High - Low
range_atr	candle_range / ATR
upper_wick	High - max(Open, Close)
upper_wick_pct	upper_wick / candle_range (write as a %)
body_pct	|Close - Open| / candle_range
close_location	(Close - Low) / candle_range. 0% = closed at the low, 100% = at the high

Location: distance to VWAP (on the test candle)

Field	How to compute by hand
dist_vwap_ticks	(VWAP - High) / 0.25. Negative means the high went above VWAP
dist_vwap_atr	(VWAP - High) / ATR
penetration_ticks	If High is above VWAP: (High - VWAP) / 0.25. Otherwise 0
level_type	VWAP, or the other level you used (prior swing low, prior high, session level...)

Illustration only: High 7,700.00, VWAP 7,700.50, ATR 2.00 gives dist_vwap_ticks = 2 and dist_vwap_atr = 0.25.

Volume: pullback vs. the selloff before it

1. Mark the **impulse**: the first and last candle of the bearish selloff right before the bounce. Write both times.
2. Mark the **pullback**: from the candle after the impulse low up to the test candle. Write both times.
3. Average the volume of each group: **avg_impulse_volume** and **avg_pullback_volume**.
4. Compute **pullback_impulse_ratio** = avg_pullback_volume / avg_impulse_volume.

Exact boundaries are a judgment call this round. Rough is fine. Writing down where you put them is what lets us define them in code later.

Acceptance check: did price hold above VWAP?

Field	How to compute by hand
closes_above_vwap	Number of 1m candles in the test that closed above VWAP
max_dist_above_vwap_ticks	(highest close above VWAP - VWAP) / 0.25. 0 if none closed above
max_dist_above_vwap_atr	Same distance / ATR

Context

Field	What to record
atr, rsi	Values on the decision candle
session	Cash session (6:30am-1:00pm PT) or overnight
timestamps	Decision candle time, in PT

Step 5 (optional): What happened next

Only after the label and measurements are written, advance 20-30 more candles and note what happened, in ticks: furthest move in your favor (MFE) and against you (MAE). This goes in its own columns. It never changes the label, because a good skip can still be followed by a move down.

Rules that keep the data clean

Every case is tagged event_type = replay

Replay cases help design the rules. They are never counted as real trades and never go into win rate, P&L or expectancy.

- Give every case an ID (EA-001, EA-002...) and save a screenshot of the decision candle with the same name.
- Label before measuring. Never edit a label after seeing the outcome.
- Keep the no's and the unsure's. A sample of only good setups cannot tell us what to reject.
- If a case does not fit any field, write it in the reason. Odd cases are often the most useful.

Step 6: What we compare afterward

When the sheet is full, each candidate below is checked against your labels: how many of your YES cases it accepts, and how many of your NO cases it wrongly accepts.

Rule	Candidates tested
Meaningful upper wick	40% / 50% / 60% of range, plus a minimum range/ATR cutoff found from your labels
Near VWAP	Within 0.25 / 0.50 / 0.75 ATR (ticks recorded alongside)
Weak pullback volume	The pullback/impulse ratio that best separates your YES and NO cases
Acceptance (cancel)	2 or 3 closes above VWAP, combined with 0.25 or 0.50 ATR distance
Failed breakout (T3)	Back below within 1 / 2 / 3 candles without meeting acceptance
Triggers T1-T5	Kept as separate labels so each can be compared later

Thresholds that match consistently move into SETUP_A.md v0.2. Anything still ambiguous stays open for another round. Nothing is assumed profitable from this; it only tells us whether the detector sees what you see.

Labeling sheet: one row per case

Set these up as spreadsheet columns, in this order. Fields marked * are filled before any measurement.

Group	Columns
Identity	case_id, date, decision_time_pt, session (cash / overnight), contract, screenshot_file
Provenance	event_type (always replay)
Your read *	verdict, triggers, alignment, decision, reason
Trend	trend_5m, trend_1d
Location	vwap, level_type, dist_vwap_ticks, dist_vwap_atr, penetration_ticks
Candle	open, high, low, close, candle_range, range_atr, upper_wick_pct, body_pct, close_location
Volume	impulse_start, impulse_end, avg_impulse_volume, pullback_start, pullback_end, avg_pullback_volume, pullback_impulse_ratio
Acceptance	closes_above_vwap, max_dist_above_vwap_ticks, max_dist_above_vwap_atr
Context	atr, rsi
After (optional)	mfe_ticks, mae_ticks, notes

Checklist per case

	Step
[ ]	Replay stopped at the decision candle, nothing seen ahead
[ ]	Verdict, triggers, alignment, decision and reason written
[ ]	Screenshot saved as the case ID
[ ]	Candle, VWAP distance, volume and acceptance numbers recorded
[ ]	event_type = replay
[ ]	(Optional) MFE / MAE recorded after the label was locked

When all cases are done, send the sheet (and screenshots if possible). We compare, then update the spec.